J.P.Morgan

North America Equity Research
07 July 2026

Apple

Updating Estimates for Price Elasticity; Expect More Resilience in Revenue/EPS Outlook than Feared by Investors

Overweight

AAPL, AAPL US
Price (06 Jul 26):$312.66

▲**Price Target (Dec-27):$345.00**
Prior (Dec-26):$325.00

Software - Large Cap / Mid & Small Cap

Samik Chatterjee, CFA AC
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

Jaiden R Patel
(1-212) 270-6953
jaiden.patel@jpmchase.com

Arti Vula, CFA
(1-415) 315-5919
arti.vula@jpmchase.com

Brian Hyska
(1-212) 622-2883
brian.hyska@jpmchase.com

Mashu Nishi
(1-212) 622-0078
mashu.nishi@jpmorgan.com
J.P. Morgan Securities LLC

Quarterly Forecasts (FYE Sep)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	2.40	2.84A	3.12
Q2	1.65	2.01A	2.30
Q3	1.57	1.93	2.07
Q4	1.85	2.07	2.37
FY	7.46	8.85	9.85

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	77	80	71	79	64
Growth	69	76	74	74	72
Momentum	52	28	75	45	64
Quality	2	2	3	2	1
Low Vol	3	6	8	10	13
ESGQ	78	81	97	92	98

Price elasticity of demand is the biggest watchpoint for the company across its key hardware product lines following the announcement of a ~20% price increase on average across iPads and Macs, which also raised expectations for the magnitude of price increases likely to be enacted in conjunction with launch of iPhone 18 (premium-end devices in the fall of 2026 followed by base models in early 2027). However, even as short-term consumer responses to the unprecedented price increases, precipitated by the rise in memory costs, are being debated by investors, **we believe there are several drivers to lead the revenue and earnings outcomes to be much more favorable than currently feared by investors, including:** 1) *historical data shows that volumes across the three key hardware products lines (iPhones, Macs, and iPads) have shown limited relationship to pricing over a multi-year period*, which has expanded across the board (more materially on iPhones than others) ; 2) *demand for Macs is likely to prove the least elastic supported by expansion of price points and TAM,* as well as Edge-AI led demand; 3) *limited elasticity for premium-end iPhones,* which have expanded volumes consistently despite premiumization; 4) *iPads and base model iPhones to exhibit the most significant price sensitivity, but in effect only registering modest revenue headwinds when incorporating the higher ASPs*; and 5) *relatively favorable access to memory and lower-than-market price increases, particularly in relation to iPhones, where our base-case is now for a $100 price increase (vs. $50 prior), supports continued opportunity for share gains across all product lines including iPhones*. Reflecting our updated views on price elasticity in our model leads to largely unchanged FY27E earnings estimate of $9.85, contrary to investor fears around downward revisions; we are establishing a Dec-27 price target of $345 (vs. Dec-26 price target of $325) with the opportunity for AAPL shares to trade higher than the 32x target multiple with earnings resilience positively surprising more concerned investors.

- **Price elasticity remains a watchpoint across devices, but long-term trends suggest that pricing has limited implications on volume opportunity over a multi-year period.** We do not underestimate the near-term influence on volumes from pricing actions, but it is important at the same time, to keep in mind that long-term historical trends bear evidence to limited impact of pricing on volumes over a multi-year period. For example, Apple has taken meaningful pricing across the portfolio in the past, and volumes have continued to expand despite those price increases, as well as despite a mature and stagnant underlying market volume backdrop in relation to all three primary product categories of smartphones, PCs and tablets. As shown in the figure below, volume units for iPhones are up ~10% between FY15 and FY26E despite a ~50% ASP increase from primarily premiumization of iPhones sold over time and despite a declining smartphone market backdrop (industry peaked around 2016-17). Similarly, Mac devices have added ~9mn units (+44%) between FY15 and FY26E on roughly flat ASP, reflecting the opportunity for Apple to

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 14 for analyst certification and important disclosures.

Samik Chatterjee, CFA [AC]
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

Price Performance

	YTD	1m	3m	12m
Abs	15.0%	1.7%	20.8%	46.4%
Rel	4.9%	-0.4%	6.8%	25.4%

Company Data

Shares O/S (mn)	14,726
52-week range ($)	317.40-201.50
Market cap ($ mn)	4,604,192.00
Exchange rate	1.00
Free float (%)	98.0%
3M ADV (mn)	53.58
3M ADV ($ mn)	15,417.5
Volatility (90 Day)	27
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	35|20|2

Key Metrics (FYE Sep)

$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	416,161	480,878	518,642	537,385
Adj. EBIT	133,050	156,397	169,199	178,616
Adj. EBITDA	144,748	170,047	184,691	195,093
Adj. net income	112,010	129,963	141,182	149,114
Adj. EPS	7.46	8.85	9.85	10.65
BBG EPS	7.39	8.77	9.66	10.73
Cashflow from operations	111,482	166,110	163,517	174,646
FCFF	98,767	153,529	145,364	155,838
Margins and Growth				
Revenue Growth Y/Y (%)	6.4%	15.6%	7.9%	3.6%
EBIT margin	32.0%	32.5%	32.6%	33.2%
EBIT Growth Y/Y (%)	8.0%	17.5%	8.2%	5.6%
EBITDA margin	34.8%	35.4%	35.6%	36.3%
EBITDA Growth Y/Y (%)	7.5%	17.5%	8.6%	5.6%
Net margin	26.9%	27.0%	27.2%	27.7%
Adj. EPS growth	10.6%	18.6%	11.3%	8.2%
Ratios				
Adj. tax rate	15.6%	17.1%	16.8%	16.8%
Interest cover	-	-	-	-
Net debt/Equity	0.9	0.3	NM	NM
Net debt/EBITDA	0.4	0.2	NM	NM
ROE	171.4%	148.0%	123.1%	103.5%
Valuation				
FCFF yield	2.1%	3.3%	3.2%	3.6%
Dividend yield	0.3%	0.3%	0.4%	0.4%
EV/Revenue	11.0	9.5	8.8	8.5
EV/EBITDA	31.5	26.8	24.7	23.4
Adj. P/E	41.9	35.3	31.7	29.4

Summary Investment Thesis and Valuation

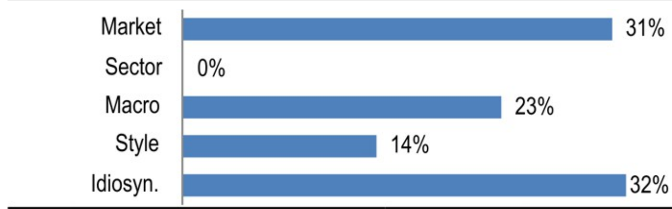
Investment Thesis

We rate shares of Apple Overweight with a robust iPhone 17 series cycle delivering upsides even as we await tailwinds from a key product cycle in iPhone 18, which will include the launch of the foldable iPhone. We expect execution to remain robust, overcoming the concerns in relation to gross margins as well as data points indicating a slowdown in App Store growth, delivering the combination of robust revenue growth, aggregate (including Services) margin expansion, and buybacks supporting earnings growth, driving visibility into the earnings compounding long-term which will drive investors to continue to value the shares at a premium valuation multiple.

Valuation

Our December 2027 price target of $345 is based on applying a P/E multiple of ~32x on our CY28 earnings estimate. We consider the multiple justified as it is towards the high end of the range in which the shares have traded in recent years, given expectations of a robust product cycle and continued expectations for robust growth in Services.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.41	0.69
Sect: Technology	-0.01	-0.08
Ind: Tech Hard Equip	0.98	0.99
Macro:		
US 10yr Breakeven	0.06	0.24
US Dollar	0.32	0.22
Credit Spread	0.15	-0.14
Quant Styles:		
LowVol	0.41	0.43
Growth	-0.38	-0.39
Value	0.46	0.38

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Samik Chatterjee, CFA AC
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

gain share in an otherwise stagnant PC market backdrop. While iPads as well have improved volumes over the same time period despite a mid-teens ASP increase, Tablet industry growth has benefitted Apple as the primary player in the market and we would argue price elasticity is likely higher given the modest volume growth experienced in that backdrop.

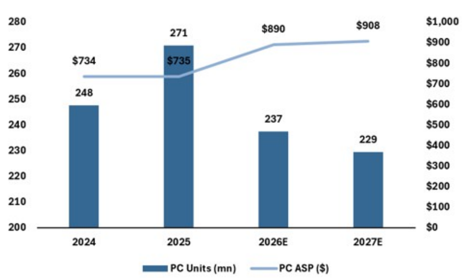
Figure 1: Apple Device Volume and ASP: FY15 vs. FY26E

Product	FY15 units	FY26E units	Δ units	FY15 ASP	FY26E ASP	Δ ASP
iPhone	231.2 mn	253.7 mn	9.7%	$671	$998	48.8%
Mac	20.6 mn	29.7 mn	44.0%	$1,237	$1,256	1.5%
iPad	54.9 mn	58.3 mn	6.2%	$423	$500	18.1%

Note: Fiscal Year
Source: J.P Morgan, Gartner, Omdia

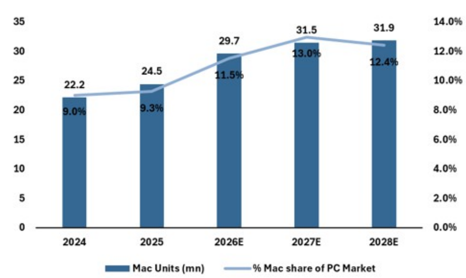
- **Price elasticity is high for the broad PC market, but Macs are side-stepping it through a broadening range of price points and, increasingly, AI-led demand.** As shown in the figure below, ASPs for the PC market are expected to rise significantly led by pass-through of memory cost inflation, including Gartner forecasting a -12% decline in units shipments for the year (to ~237mn from ~271mn). That said, it's important to note, that price elasticity is not expected to be 1:1 as price increases are estimated to be closer to ~21% in 2026 (to ~$890 from ~$735 in 2025) supporting a net increase in the revenue TAM.

Figure 2: Total PC Units Decline -12% in 2026E as ASP rises +21%



Note: Calendar Year
Source: J.P. Morgan, Gartner

Figure 3: Mac Expected to Expand Share as PC Market Contracts



Note: Fiscal Year
Source: J.P. Morgan, Gartner

- **Mac volume growth to continue on broader TAM, including Edge AI.** As shown in the figure above, Macs gained share within the overall PC market in 2024/25 and we expect continued share gains in FY26E and beyond, which in turn are also expected to contribute to limited signs of price elasticity for Apple in the PC market, in contrast to the rest of the industry, in our view. The structural drivers towards limited price elasticity for Macbooks are 1) materially broadening addressable customer segments through wider price points, extending the range down with the entry-level MacBook Neo (which has stepped blended Mac ASP to ~$1,256 in FY26E from ~$1,378 in FY25 and is seeing strong early success) while anchoring the high end with the Mac Studio, Mac Pro, and higher-memory MacBook Pro configurations; and 2) Edge AI led demand, which is evidencing in sales trends for Macbooks with Gartner projecting AI PCs to rise from ~29% of the PC market in 2025 to ~46% in 2026 and ~70% by 2027. Agentic and on-device AI workloads that lean on Apple silicon and unified memory are already inflecting on the Mac lineup, and that capability-driven demand is likely far less price-sensitive than commodity refresh demand, allowing Apple to hold (or take) price with limited loss of volumes.

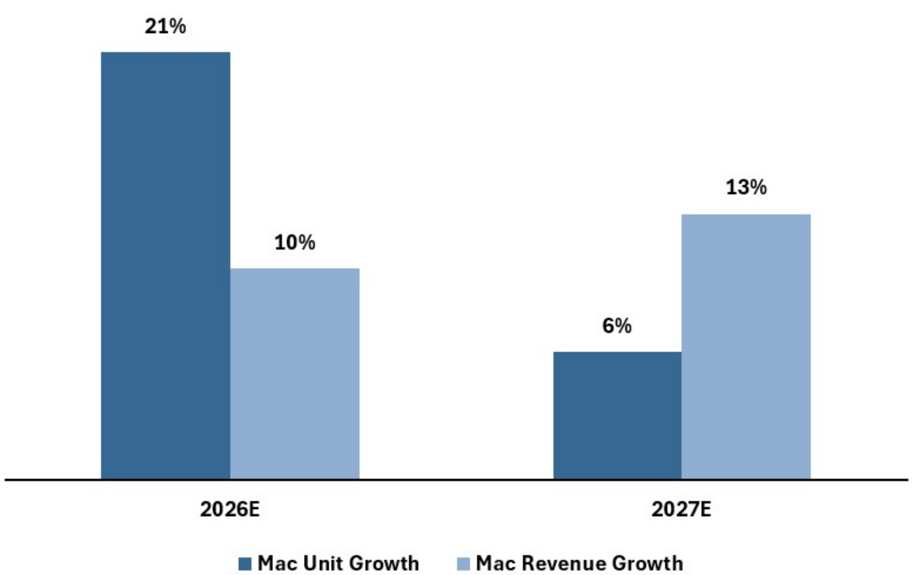
Figure 4: Device Market Forecast: Memory-Driven Pricing Drives a 2026 Unit Reset

Metric	2024	2025	2026E	2027E
PC Units (mn)	248	271	237 (-12%)	229
PC ASP ($)	$734	$735	$890 (21%)	$908
Smartphone units (mn)	1226	1247	1127 (-10%)	1180
Tablet units (mn)	136	141	126 (-10%)	124
AI PC (% of PC units)	15%	29%	46%	70%

Note: Calendar Year
Source: J.P. Morgan, Gartner

- **Forecast double-digit revenue growth in Mac continuing in FY27 despite the price increases.** As shown in the figure below, we forecast FY26E Mac revenue growth to track in the double-digit percentages on account of volume increases (even as ASPs moderated on the introduction of lower price points with Macbook Neo). Despite the recent price increases, we are forecasting an acceleration in revenue growth in FY27 with the help of more balanced growth drivers between volume and pricing.

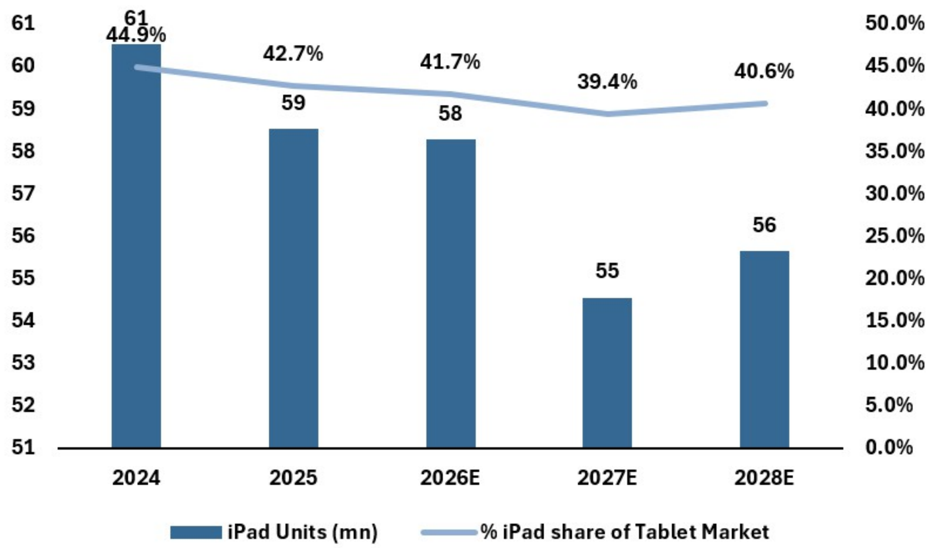
Figure 5: Forecasting Double-Digit Revenue Growth in FY26 and FY27



Note: Fiscal Year
Source: J.P. Morgan, Gartner

- **The tablet market is likely the most price-sensitive amongst key hardware product lines.** The combination of the historical volume trends vis-à-vis ASP increases as well as the limited AI-led catalysts for the product line, leads us to believe that iPad volumes might demonstrate the most price sensitivity amongst the three key hardware product lines. Per Gartner, global tablet shipments fell from ~152mn in 2022 to ~137mn in 2024, well below the mid-2010s peak, with Gartner forecasting a further ~10% decline in 2026 (to ~126mn) as price increases flow through, while iPad volumes have been broadly flat (~43% share in FY25), shown below. We now forecast iPad unit volumes to decline in F4Q26 and in FY27 (-6%), on account of the price increases, with potential recovery in volumes if prices were to stabilize; it is important however to note that we continue to forecast about mid-single digit iPad revenue increases in both FY27 and FY28.

Figure 6: Forecast iPad units to decline on price elasticity

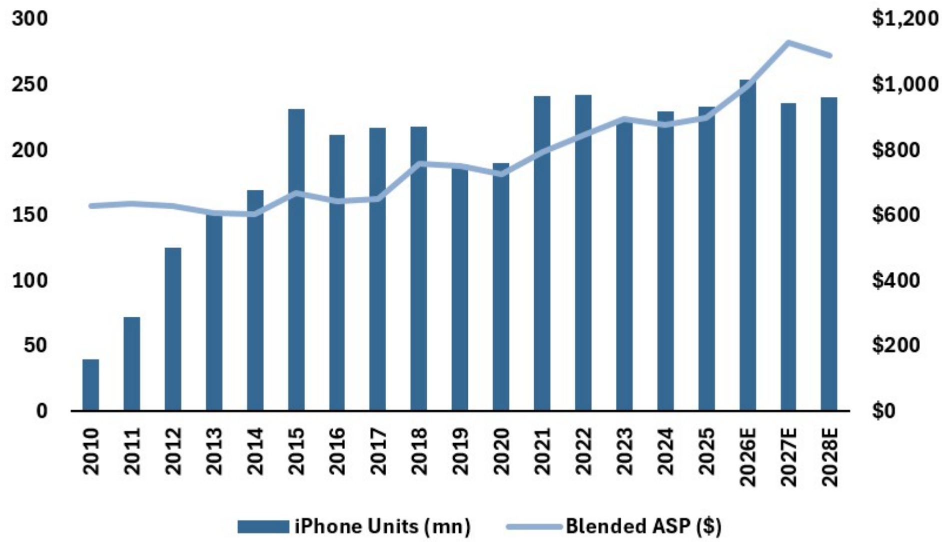


Note: Fiscal Year
Source: J.P. Morgan

- **There is limited evidence of a strong correlation between pricing and volume for the iPhone, despite a stagnant to declining smartphone market.** The global smartphone market peaked near ~1.47bn units around 2016-17 and has since settled into the ~1.2bn-unit range and Gartner expects this to dip ~10% in 2026 on memory-driven price increases, a market-wide headwind Apple's premium mix and installed base should cushion better than most. Yet across a long time horizon, iPhone volumes have been more influenced by the product cycle, rather than price. iPhone units have oscillated in the ~190-250mn range for a decade even as blended ASP climbed ~65%, from ~$600 in the early 2010s to ~$998 in FY26E. The drawdowns that did occur within this timeframe (e.g., FY2019 units -13%) coincided with flat ASP and a weak cycle, while the strongest unit years (FY2021, +27%) came alongside ASP gains of ~10%, representing that consumer demand is led by features, upgrades, and service provider subsidies in certain geographies - all of which together overpower sensitivity to pricing. Most tellingly, Apple's unit share of the global market rose from ~15% in 2014-15 to ~19%-20% in 2023-24, meaning Apple has been gaining share in the global smartphone market while taking price - which we expect to continue on account of 1) relatively favorable access to memory than other smartphone OEMs; 2) magnitude of price increases tracking below market ASP increases in the 20% range.

Samik Chatterjee, CFA AC
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

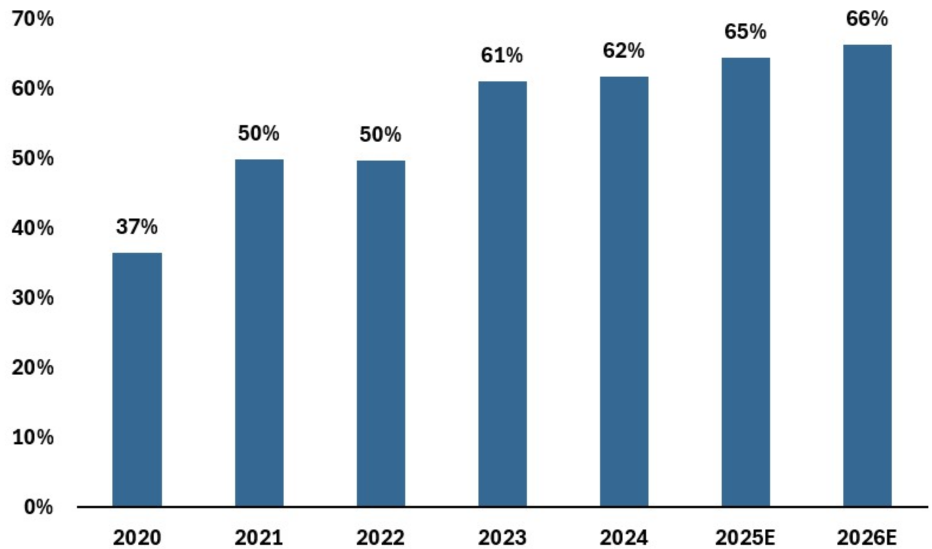
Figure 7: iPhone Units vs. Blended ASP by Fiscal Year



Note: Fiscal Year
Source: J.P. Morgan, Omdia

- **We believe iPhone's price elasticity sits between Mac and iPad, and is lower still for Pro devices.** Apple has not taken much like-for-like iPhone pricing in recent cycles, however the mix has continued to shift up naturally: Pro and Pro Max units have risen from ~37% of iPhone shipments in 2020 (the first full year of "Pro" branding) to ~65% in 2025 and ~66% in our 2026E build (includes 12-month post launch). We view this as a sign of lower price elasticity for high-end devices and consumers, with consumers willingly participating in the premiumization of the iPhone on account of features. In summary, within the context of the anticipated iPhone 18 portfolio, we expect price elasticity to be concentrated in the base model iPhone cohorts (iPhone 18, iPhone 18 Air) to be launched in early 2027 rather than in the premium models (iPhone 18 Pro, iPhone 18 Pro Max, iPhone Foldable) to be launched in late 2026.

Figure 8: iPhone Pro Mix Has Risen Through a Period of Pro-led Pricing

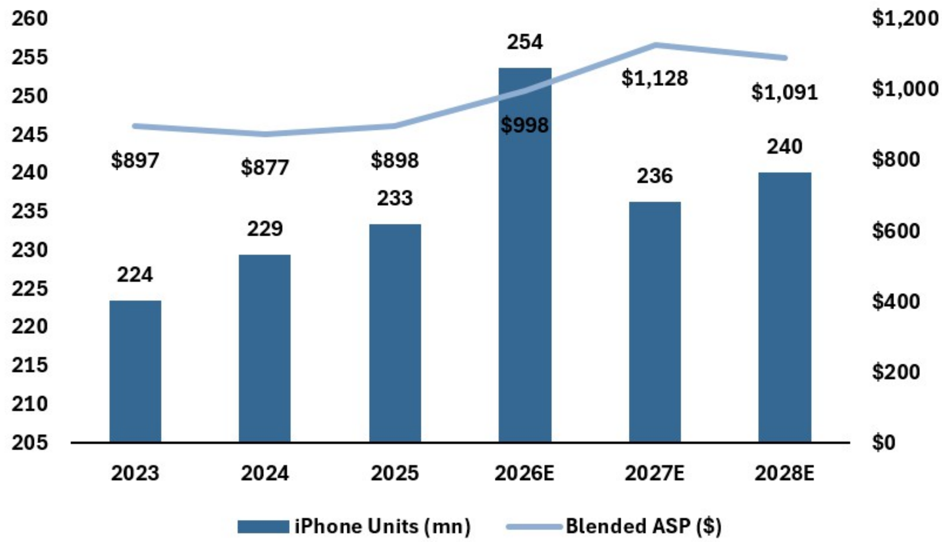


Note: Calendar Year
Source: J.P Morgan, IHS

- **We expect Apple to take less than 20% pricing on the iPhone 18 lineup with our base-case for $100 ASP increases, while still driving gross margin resilience.** Our prior expectation of a mid-single-digit blended increase tied to the September launch now looks too conservative given the magnitude of the memory-cost pressure; that said, we continue to expect Apple to deploy offsetting levers such as component pre-buys, long-term supply agreements, mix, and trade-in/financing to keep the headline increase below the ~20% the broad device market is absorbing, as the iPhone carries the greatest installed-base and share implications. In the base case assumptions embedded in our model, we now forecast $100 price increase in a like-for-like basis across iPhone models, which together with mix gains, will support low-teens digit price increase in FY27E. That said, on the gross margin front, we expect the price increases on iPhones (as well as on other hardware platforms) will enable Apple to maintain resilience on Hardware Product gross margins, driving unchanged JPMe gross margin forecasts.
- **Updating our model to reflect price elasticity, but expect resilience of earnings estimates in aggregate on account of limited price elasticity in Macs and iPhones.** As outlined in the report for the different key hardware product categories, we expect price elasticity to be the most limited for Macs - with pricing in turn supporting modest acceleration in growth, and iPhones are likely to exhibit limited elasticity in the premium lineup launching this fall. On the flip-side, we expect price elasticity in base iPhone models launching in early 2027 as well as iPads. The combination leads us to expect limited material changes in revenue and earnings at the company level, with the lower revenue forecasts for iPads and base iPhone models offset by higher revenue forecasts from Macs and premium-end iPhones.
- **Specific to iPhones, we are forecasting revenue outlooks to track modestly better, with higher pricing more than offsetting lower volumes.** As shown in the figure below, we now forecast iPhone volumes to decline -7% in FY27 (from -4% prior), led by the incremental mid-single pricing relative to our prior forecasts, with the net effect being a modestly better revenue outlook. Within the iPhone 18 volume forecasts, our volume expectations for premium-end iPhone 18s moderate by only 3 mn while our volume forecasts for base model iPhone 18s in the 12 months following the launch moderate by 7mn reflecting the higher price elasticity.

Samik Chatterjee, CFA AC
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

Figure 9: Updating iPhone Units vs. Blended ASP Estimates



Note: Fiscal Year
Source: J.P. Morgan

- **Earnings forecasts broadly unchanged; establish Dec-27 price target of $345 (vs. Dec-26 PT of $325 prior).** Our updated expectations for volumes in response to price increases, drives limited changes to revenue and earnings estimates, although it does imply lower volume share gains relative to prior expectations before the price increases. Our FY27E EPS is broadly unchanged at ~$9.85. We are establishing a Dec-27 price target of $345 on valuing JPME CY28 earnings expectations at the same 32x P/E multiple as leveraged in our Dec-26 price target of $325, although we do envision an opportunity for the shares to trade ahead of the 32x target multiple embedded in our price target on account of greater resilience of earnings forecast despite the challenges of navigating a tough memory cycle.

Samik Chatterjee, CFA AC
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

Investment Thesis, Valuation and Risks

Apple *(Overweight; Price Target: $345.00)*

Investment Thesis

We rate shares of Apple Overweight with a robust iPhone 17 series cycle delivering upsides even as we await tailwinds from a key product cycle in iPhone 18, which will include the launch of the foldable iPhone. We expect execution to remain robust, overcoming the concerns in relation to gross margins as well as data points indicating a slowdown in App Store growth, delivering the combination of robust revenue growth, aggregate (including Services) margin expansion, and buybacks supporting earnings growth, driving visibility into the earnings compounding long-term which will drive investors to continue to value the shares at a premium valuation multiple.

Valuation

We are establishing our December 2027 price target. Our December 2027 price target of $345 is based on applying a P/E multiple of ~32x on our CY28 earnings estimate. We consider the multiple justified as it is towards the high end of the range in which the shares have traded in recent years, given expectations of a robust product cycle and continued expectations for robust growth in Services.

AAPL P/E-Based Price Target Analysis

$ in Millions, except per share amounts

	NTM Qtrs 1-4	CY28E
JPM Net Income	**136,372**	**149,114**
JPM EPS	$9.41	$10.65
P/E Multiple	33x	
JPM P/E Multiple		32x
Total Equity Value	**4,618,991**	**4,831,306**
Average Diluted Share Count	14,725.9	13,998.2
Implied Share Price	**$313.7**	**$345.0**
Current Value per Share	$313.67	$313.67
Upside vs. Current		10%
Memo:		
(-) Net Cash/(Debt)	61,884	143,898
Enterprise Value	4,557,107	4,687,409
JPM EBITDA	178,132	195,093
Implied EV/EBITDA	*25.6x*	*24.0x*

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Industry Downside Risks

Deceleration or contraction in the handset and smartphone market. Economic conditions or shifting consumer demand could cause greater than expected deceleration or contraction in the handset and smartphone markets. This would negatively impact Apple's prospects for growth, and the shares might fail to achieve our price target as a result.

Increase in competitive pressures in international markets. Apple is increasingly participating in international markets, such as China and India, where local players, which are better situated, could leverage their position and pull on levers such as pricing to make the market more competitive. In addition, tariffs enacted by local governments may further hurt Apple's ability to compete effectively in international markets.

Company-Specific Downside Risks

Investment in new business strategies and acquisitions could be fruitless. Apple has historically invested in new business strategies and acquisitions. As such, success in these investments has low visibility at this time and could lead to greater than expected liabilities and expense. Additionally, new investments could have a negative impact on current operations by distracting management.

Risks around CEO transition. Apple has already announced a CEO transition with John Ternus set to replace Tim Cook on Sep 1st, 2026. With admirable execution under the long-

Samik Chatterjee, CFA [AC]
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

tenured leadership of Tim Cook, the benchmark remains high and implies modest risks in terms of continuation of robust execution.

Samik Chatterjee, CFA [AC]
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

Apple Summary Table

$ in Millions, except for per share data

Sep Fiscal Year End	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E	1Q28E	2Q28E	3Q28E	4Q28E	2028E
iPhone Units	233	84	60	55	55	254	73	58	51	54	236	72	55	54	60	240
iPhone Revenue	209,586	85,269	56,994	55,350	55,461	253,074	88,389	63,045	55,619	59,675	266,728	83,361	57,765	55,386	65,440	261,953
iPad revenue	28,023	8,595	6,914	6,578	7,035	29,123	9,390	7,315	6,960	7,018	30,683	9,769	7,611	7,241	7,301	31,922
Mac revenue	33,708	8,386	8,399	8,907	11,544	37,236	11,623	9,701	9,308	11,516	42,147	11,263	9,895	9,969	12,333	43,459
Wearables Revenue	35,686	11,493	7,901	7,763	9,331	36,488	11,401	8,051	7,845	9,442	36,740	11,769	8,371	8,142	9,819	38,100
Services Revenue	109,158	30,013	30,976	31,140	32,829	124,958	34,214	35,274	35,466	37,390	142,344	38,927	40,132	40,351	42,540	161,950
Revenue	**416,161**	**143,756**	**111,184**	**109,738**	**116,200**	**480,878**	**155,018**	**123,386**	**115,197**	**125,041**	**518,642**	**155,089**	**123,773**	**121,089**	**137,434**	**537,385**
% chg y/y	*6.4%*	*15.7%*	*16.6%*	*16.7%*	*13.4%*	*15.6%*	*7.8%*	*11.0%*	*5.0%*	*7.6%*	*7.9%*	*0.0%*	*0.3%*	*5.1%*	*9.9%*	*3.6%*
Product GM	*36.8%*	*40.7%*	*38.7%*	*36.8%*	*36.3%*	*38.3%*	*40.2%*	*37.7%*	*35.4%*	*36.5%*	*37.7%*	*40.0%*	*37.3%*	*35.8%*	*36.9%*	*37.7%*
Services GM	*75.4%*	*76.5%*	*76.7%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*	*76.5%*
Gross Margin	*46.9%*	*48.2%*	*49.3%*	*48.0%*	*47.6%*	*48.3%*	*48.2%*	*48.8%*	*48.1%*	*48.5%*	*48.4%*	*49.2%*	*50.0%*	*49.4%*	*49.2%*	*49.4%*
Opex	**62,151**	**18,379**	**18,896**	**18,950**	**19,463**	**75,688**	**20,617**	**20,606**	**20,044**	**20,382**	**81,649**	**21,325**	**21,537**	**21,796**	**22,264**	**86,922**
Opex as % of sales	*14.9%*	*12.8%*	*17.0%*	*17.3%*	*16.8%*	*15.7%*	*13.3%*	*16.7%*	*17.4%*	*16.3%*	*15.7%*	*13.8%*	*17.4%*	*18.0%*	*16.2%*	*16.2%*
Operating Income (COI)	**133,050**	**50,852**	**35,885**	**33,773**	**35,886**	**156,397**	**54,061**	**39,590**	**35,321**	**40,228**	**169,199**	**54,943**	**40,339**	**37,997**	**45,337**	**178,616**
operating margin	*32.0%*	*35.4%*	*32.3%*	*30.8%*	*30.9%*	*32.5%*	*34.9%*	*32.1%*	*30.7%*	*32.2%*	*32.6%*	*35.4%*	*32.6%*	*31.4%*	*33.0%*	*33.2%*
Net Income	**112,010**	**42,097**	**29,578**	**28,239**	**30,049**	**129,963**	**45,062**	**33,022**	**29,506**	**33,593**	**141,182**	**45,844**	**33,686**	**31,737**	**37,847**	**149,114**
Diluted EPS	**$7.46**	**$2.84**	**$2.01**	**$1.93**	**$2.07**	**$8.85**	**$3.12**	**$2.30**	**$2.07**	**$2.37**	**$9.85**	**$3.25**	**$2.40**	**$2.27**	**$2.73**	**$10.65**
Diluted Shares (avg.)	15,016	14,810	14,726	14,634	14,538	14,689	14,451	14,366	14,281	14,197	14,335	14,114	14,032	13,951	13,870	13,998
Cash	132,420	144,795	146,595	153,093	158,993	158,993	179,245	186,366	177,631	188,660	188,660	202,400	209,564	207,592	228,609	228,609
Debt	98,657	90,509	84,711	84,711	84,711	84,711	84,711	84,711	84,711	84,711	84,711	84,711	84,711	84,711	84,711	84,711
Net Debt	(33,763)	(54,286)	(61,884)	(68,382)	(74,282)	(74,282)	(94,534)	(101,655)	(92,920)	(103,949)	(103,949)	(117,689)	(124,853)	(122,881)	(143,898)	(143,898)
Net Leverage	-0.2x	-0.4x	-0.4x	-0.4x	-0.4x	-0.4x	-0.5x	-0.6x	-0.5x	-0.6x	-0.6x	-0.6x	-0.7x	-0.6x	-0.7x	-0.7x
Operating Cash Flow	111,482	53,925	28,702	44,605	38,877	166,110	54,565	40,304	24,281	44,366	163,517	48,106	40,410	31,297	54,834	174,646
Capital Expenditures	(12,715)	(2,373)	(1,971)	(4,170)	(4,067)	(12,581)	(5,426)	(4,319)	(4,032)	(4,376)	(18,152)	(5,428)	(4,332)	(4,238)	(4,810)	(18,808)
Free Cash Flow	98,767	51,552	26,731	40,435	34,810	153,529	49,140	35,985	20,250	39,989	145,364	42,677	36,078	27,058	50,024	155,838
Dividends	(15,421)	(3,921)	(3,822)	(3,937)	(3,911)	(15,591)	(3,888)	(3,865)	(3,984)	(3,961)	(15,697)	(3,937)	(3,914)	(4,030)	(4,007)	(15,889)
Share repurchases	(90,711)	(24,701)	(12,288)	(30,000)	(25,000)	(91,989)	(25,000)	(25,000)	(25,000)	(25,000)	(100,000)	(25,000)	(25,000)	(25,000)	(25,000)	(100,000)

Source: Company reports and J.P. Morgan estimates.

Samik Chatterjee, CFA AC
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

Apple: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**391,035**	**416,161**	**480,878**	**518,642**	**537,385**
COGS	(210,352)	(220,960)	(248,793)	(267,794)	(271,847)
Gross profit	**180,683**	**195,201**	**232,085**	**250,848**	**265,538**
SG&A	(26,097)	(27,601)	(29,939)	(33,428)	(37,149)
Adj. EBITDA	**134,661**	**144,748**	**170,047**	**184,691**	**195,093**
D&A	(11,445)	(11,698)	(13,651)	(15,492)	(16,477)
Adj. EBIT	**123,216**	**133,050**	**156,397**	**169,199**	**178,616**
Net Interest	-	-	-	-	-
Adj. PBT	**123,485**	**132,729**	**156,845**	**169,599**	**179,116**
Tax	(19,503)	(20,719)	(26,882)	(28,417)	(30,002)
Minority Interest	-	-	-	-	-
Adj. Net Income	**103,982**	**112,010**	**129,963**	**141,182**	**149,114**
Reported EPS	6.74	7.46	8.85	9.85	10.65
Adj. EPS	**6.74**	**7.46**	**8.85**	**9.85**	**10.65**
DPS	**0.98**	**1.02**	**1.06**	**1.10**	**1.14**
Payout ratio	14.5%	13.7%	12.0%	11.2%	10.7%
Shares outstanding	15,423	15,016	14,689	14,335	13,998

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	29,943	35,934	57,970	87,637	127,586
Accounts receivable	33,410	39,777	45,189	47,238	51,919
Inventories	7,286	5,718	7,437	7,159	7,759
Other current assets	82,348	66,528	61,456	61,456	61,456
Current assets	**152,987**	**147,957**	**172,052**	**203,490**	**248,720**
PP&E	45,680	49,834	51,355	54,016	56,348
LT investments	91,479	77,723	78,088	78,088	78,088
Other non current assets	74,834	83,727	98,764	98,764	98,764
Total assets	**364,980**	**359,241**	**400,259**	**434,358**	**481,920**
Short term borrowings	20,879	20,329	10,307	10,307	10,307
Payables	68,960	69,860	74,372	82,329	89,230
Other short term liabilities	86,553	75,442	83,699	84,356	91,791
Current liabilities	**176,392**	**165,631**	**168,378**	**176,991**	**191,328**
Long-term debt	85,750	78,328	74,404	74,404	74,404
Other long term liabilities	45,888	41,549	55,546	55,546	55,546
Total liabilities	**308,030**	**285,508**	**298,328**	**306,941**	**321,278**
Shareholders' equity	56,950	73,733	101,931	127,417	160,642
Minority interests	-	-	-	-	-
Total liabilities & equity	**364,980**	**359,241**	**400,259**	**434,358**	**481,920**
BVPS	**3.69**	**4.91**	**6.94**	**8.89**	**11.48**
y/y Growth	*(6.0%)*	*33.0%*	*41.3%*	*28.1%*	*29.1%*
Net debt/(cash)	76,686	62,723	26,741	(2,926)	(42,875)
Cash flow from operating activities	**118,254**	**111,482**	**166,110**	**163,517**	**174,646**
o/w Depreciation & amortization	11,445	11,698	13,651	15,492	16,477
o/w Changes in working capital	3,651	(25,000)	17,091	6,842	9,055
Cash flow from investing activities	**2,935**	**15,195**	**(19,291)**	**(18,152)**	**(18,808)**
o/w Capital expenditure	(9,447)	(12,715)	(12,581)	(18,152)	(18,808)
as % of sales	*2.4%*	*3.1%*	*2.6%*	*3.5%*	*3.5%*
Cash flow from financing activities	**(121,983)**	**(120,686)**	**(124,783)**	**(115,697)**	**(115,889)**
o/w Dividends paid	(15,234)	(15,421)	(15,591)	(15,697)	(15,889)
o/w Net debt issued/(repaid)	(5,998)	(8,483)	(13,825)	0	0
Net change in cash	**(794)**	**5,991**	**22,036**	**29,667**	**39,949**
Adj. Free cash flow to firm	**108,807**	**98,767**	**153,529**	**145,364**	**155,838**
y/y Growth	*9.3%*	*(9.2%)*	*55.4%*	*(5.3%)*	*7.2%*

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**143,756A**	**111,184A**	**109,738**	**116,200**
COGS	(74,525)A	(56,403)A	(57,015)	(60,850)
Gross profit	**69,231A**	**54,781A**	**52,723**	**55,350**
SG&A	(7,492)A	(7,477)A	(7,417)	(7,553)
Adj. EBITDA	**54,066A**	**39,324A**	**37,285**	**39,372**
D&A	(3,214)A	(3,439)A	(3,512)	(3,486)
Adj. EBIT	**50,852A**	**35,885A**	**33,773**	**35,886**
Net Interest	-	-	-	-
Adj. PBT	**51,002A**	**35,833A**	**34,023**	**35,986**
Tax	(8,905)A	(6,255)A	(5,784)	(5,938)
Minority Interest	-	-	-	-
Adj. Net Income	**42,097A**	**29,578A**	**28,239**	**30,049**
Reported EPS	2.84A	2.01A	1.93	2.07
Adj. EPS	**2.84A**	**2.01A**	**1.93**	**2.07**
DPS	**0.26A**	**0.26A**	**0.27**	**0.27**
Payout ratio	9.1%A	12.9%A	14.0%	13.1%
Shares outstanding	14,810A	14,726A	14,634	14,538

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	46.2%	46.9%	48.3%	48.4%	49.4%
EBITDA margin	34.4%	34.8%	35.4%	35.6%	36.3%
EBIT margin	31.5%	32.0%	32.5%	32.6%	33.2%
Net profit margin	26.6%	26.9%	27.0%	27.2%	27.7%
ROE	174.6%	171.4%	148.0%	123.1%	103.5%
ROA	29.0%	30.9%	34.2%	33.8%	32.5%
ROCE	61.6%	66.8%	72.2%	70.6%	65.0%
SG&A/Sales	6.7%	6.6%	6.2%	6.4%	6.9%
Net debt/equity	1.3	0.9	0.3	NM	NM
P/E (x)	46.4	41.9	35.3	31.7	29.4
P/BV (x)	84.7	63.7	45.1	35.2	27.2
EV/EBITDA (x)	33.8	31.5	26.8	24.7	23.4
Dividend Yield	0.3%	0.3%	0.3%	0.4%	0.4%
Sales/Assets (x)	1.1	1.1	1.3	1.2	1.2
Interest cover (x)	-	-	-	-	-
Operating leverage	385.7%	124.2%	112.8%	104.2%	154.0%
Revenue y/y Growth	2.0%	6.4%	15.6%	7.9%	3.6%
EBITDA y/y Growth	7.0%	7.5%	17.5%	8.6%	5.6%
Tax rate	15.8%	15.6%	17.1%	16.8%	16.8%
Adj. Net Income y/y Growth	7.2%	7.7%	16.0%	8.6%	5.6%
EPS y/y Growth	10.0%	10.6%	18.6%	11.3%	8.2%
DPS y/y Growth	-	4.1%	3.9%	3.8%	3.6%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Sep. o/w - out of which

Analyst Certification: The Research Analyst(s) denoted by an "AC" on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an "AC" on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst's personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst's compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst's analysis was made in good faith and that the views reflect the Research Analyst's own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker:** J.P. Morgan Securities LLC makes a market in the securities of Apple or related entities.
- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to Apple or related entities.
- **Director:** An employee of J.P. Morgan or an executive officer or director of J.P. Morgan Chase & Co. is an officer, director or advisory board member of Apple or related entities.
- **Analyst Position:** An analyst on the Equity or Credit coverage team, non-fundamental analyst who may produce trade recommendations, or a member of their respective household(s) has a financial interest in the debt or equity securities of Apple or related entities.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: Apple or related entities.
- **Client/Investment Banking:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as investment banking clients: Apple or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: Apple or related entities.
- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: Apple or related entities.
- **Investment Banking Compensation Received:** J.P. Morgan has received in the past 12 months compensation for investment banking services from Apple or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from Apple or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from Apple or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of Apple or related entities, if any.
- **Gartner:** All statements in this report attributable to Gartner represent J.P. Morgan's interpretation of data, research opinion or viewpoints published as part of a syndicated subscription service by Gartner, Inc., and have not been reviewed by Gartner. Each Gartner publication speaks as of its original publication date (and not as of the date of this presentation or report). The opinions expressed in Gartner publications are not representations of fact and are subject to change without notice.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting https://www.jpmm.com/research/disclosures, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Apple (AAPL, AAPL US) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 01, 1999. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
01-Aug-23	OW	196.45	235
08-Sep-23	OW	177.56	230
02-Nov-23	OW	173.97	225
01-Feb-24	OW	184.40	215
11-Apr-24	OW	167.78	210
02-May-24	OW	169.30	225
18-Jun-24	OW	216.67	245
24-Jul-24	OW	225.01	265
21-Jan-25	OW	229.98	260
30-Jan-25	OW	239.36	270
14-Apr-25	OW	198.15	245
01-May-25	OW	212.50	240
26-Jun-25	OW	201.56	230
17-Jul-25	OW	210.16	250
31-Jul-25	OW	209.05	255
19-Sep-25	OW	237.88	280
27-Oct-25	OW	262.82	290
30-Oct-25	OW	269.70	305
26-Jan-26	OW	248.04	315
29-Jan-26	OW	256.44	325

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:
J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, https://www.jpmorganmarkets.com.

Coverage Universe: Chatterjee, Samik : Adobe Inc (ADBE), Akamai Technologies, Inc. (AKAM), Apple (AAPL), Cloudflare (NET), CoreWeave (CRWV), Datadog (DDOG), Dynatrace (DT), Figma (FIG), HubSpot (HUBS), Intuit (INTU), Microsoft (MSFT), Oracle (ORCL), Salesforce Inc (CRM), ServiceNow (NOW), Snowflake (SNOW), Twilio (TWLO), Workday (WDAY), Zoom Communications (ZM)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

***Please note that the percentages may not add to 100% because of rounding.**
****Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.**
For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at http://www.jpmorganmarkets.com, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, http://www.jpmorganmarkets.com. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:
A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of http://www.jpmorganmarkets.com where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to UK MIFID Research Unbundling exemption for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see https://www.jpmorgan.com/disclosures/cryptoasset-disclosure.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit https://www.theocc.com/components/docs/riskstoc.pdf for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:
Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting https://www.jpmm.com/research/disclosures. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: J.P. Morgan Australia - Research Independence Policy.

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai – 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number – INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: http://www.jpmipl.com. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India

Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasadh K, jpmipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit Terms and Conditions and Most Important Terms and Conditions (MITC). The annual Compliance audit report is available at http://www.jpmipl.com/#research.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange (“Bolsa Mexicana de Valores”) and the Institutional Stock Exchange (“Bolsa Institucional de Valores”), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission (“Comisión Nacional Bancaria y de Valores”).

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of “accredited investors,” “expert investors” or “institutional investors,” as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange (“Non-Taiwan Listed Securities”), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the “Important Disclosures” in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumphini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc (“JPMS plc”) which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited (“JPMML Ltd”) which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 (“the FPO”); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA’s policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: J.P. Morgan EMEA - Research Independence Policy.

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: https://www.jpmorgan.com/disclosures/email

"Other Disclosures" last revised July 04, 2026.

Samik Chatterjee, CFA [AC]
(1-212) 622-0798
samik.x.chatterjee@jpmorgan.com

Completed 06 Jul 2026 08:53 PM EDT

Disseminated 07 Jul 2026 06:00 AM EDT